into the solar segment with an ‘environment-friendly experimental 110 KW unit’ near Lonavala in Maharashtra.

Adi J. Engineer, former MD of Tata Power, says that Ratan’s restructuring programmes spawned enormous changes in the company. The exchange of best practices, the evaluation matrix and the TCoC had a deep, transformative impact.

By mid-1997, TEC became the largest private utility in the country with a combined generation capacity of 1,624 MW. But in the new liberalized economic environment, Ratan also focused on increasing the companies’ efficiency. His objective was to brace them for future competition from new players, which would enter the segment with modern technology and management practices. He strove for reduction in the cost of power production, though the plants were already ‘among the lowest-cost power producers in India’. He ‘set a target of cutting costs by 2 per cent a year’. This was because the existing pricing mechanism had bred a certain amount of complacency in the companies. Assured of agreed returns, there was no incentive to either cut costs or improve efficiency. Tata Power earned a steady income of cost-plus 14 per cent and this made it a cash-rich company, says Engineer. He adds that it had earned the sobriquet of ‘widows’ share’ as the pricing mechanism ensured that the company and its shares always returned a steady income, so Parsi and Gujarati husbands preferred to buy its shares in their wives’ names insurance.

Persuaded by Ratan to expand the companies’ activities to encompass more segments, Homi Sethna, then chairman of TEC, declared, ‘We’ve been hibernating for a long time, but now we want to grow and evolve into a total energy company.’

Achieving Scale

In order to achieve scale, the companies under TEC formulated an ambitious growth plan to invest a total of Rs 30 billion in new projects in the next four years. Included in the plan was a ‘new 450 MW naptha-based plant at Bhivpuri in Maharashtra’ for which it received approval. It also ‘won approval for two “short gestation” projects of 40 MW output each’ in Karnataka, and pursued other projects in Orissa, Gujarat, Jammu and Kashmir and Andhra Pradesh. While it worked on ‘extending its generating